include both the activities of the business trading units and of the independent risk control unit. A review of the overall risk management process should take place at regular intervals (ideally no less than once a year) and should specifically address, at a minimum:

- The adequacy of the documentation of the risk management system and process;
- The organisation of the risk control unit;
- The integration of counterparty credit risk measures into daily risk management;
- The approval process for counterparty credit risk models used in the calculation of counterparty credit risk used by front office and back office personnel;
- The validation of any significant change in the risk measurement process;
- The scope of counterparty credit risks captured by the risk measurement model;
- The integrity of the management information system;
- The accuracy and completeness of position data;
- The verification of the consistency, timeliness and reliability of data sources used to run internal models, including the independence of such data sources;
- The accuracy and appropriateness of volatility and correlation assumptions;
- The accuracy of valuation and risk transformation calculations; and
- The verification of the model's accuracy as described below in paragraphs 43-46.

- The on-going validation of counterparty credit risk models, including backtesting, must be reviewed periodically by a level of management with sufficient authority to decide the course of action that will be taken to address weaknesses in the models.

43. Banks must document the process for initial and on-going validation of their IMM model to a level of detail that would enable a third party to recreate the analysis. Banks must also document the calculation of the risk measures generated by the models to a level of detail that would allow a third party to re-create the risk measures. This documentation must set out the frequency with which backtesting analysis and any other on-going validation will be conducted, how the validation is conducted with respect to dataflows and portfolios and the analyses that are used.

44. Banks must define criteria with which to assess their EPE models and the models that input into the calculation of EPE and have a written policy in place that describes the process by which unacceptable performance will be determined and remedied.